Session 11: Sales Funnels & Qualification

Sales 101 (Postgraduate) | Four Motions, One Discipline | 90 minutes

Class Agenda

Time	What we are doing
0-04	Objectives
04-14	What a funnel is, and why stages need entry and exit criteria
14-30	Four real funnels, side by side
30-42	Qualification: why BANT is not enough, and what to use instead
42-52	How to ask a qualification question without sounding like a form
52-80	Workshop: design two funnels and write the questions that gate them
80-85	Debrief
85-90	Closing questions

Key Objectives

#	Objective	What success looks like
LO1	Design a funnel with entry and exit criteria for each stage.	Four or five stages. Every stage has an observable event that moves a deal into it and an observable event that moves it out. No stage advances because the seller 'feels good' about it.
LO2	Explain why the same product needs a different funnel for inside and field sales.	You can take one company and produce two different stage sets, and say which stage exists in one and not the other, and why.
LO3	Write qualification questions that surface need, budget, timeline, authority and fit.	Five questions. None of them can be answered yes or no. None sounds like a form.
LO4	Look at a live deal and decide qualified or not, with reasoning.	You can name what is missing, and say whether it is missing because nobody asked or because the answer is bad.

Part 1: What a Funnel Actually Is

A funnel is not a picture of your process. It is a set of agreements about what has to be true before a deal is allowed to move forward.

That distinction is the whole session. Most funnels fail because the stages describe what the seller has done — sent a proposal, ran a demo — rather than what the buyer has done. A stage defined by seller activity will always be full, because sellers are always busy.

> **THE TEST FOR ANY STAGE**
>
> Can somebody who was not in the meeting look at the deal and agree it belongs in this stage?
>
> If the answer depends on the seller's opinion, it is not a stage. It is a feeling with a name.

Entry and exit criteria

Weak stage definition	Why it fails	Strong stage definition
Qualified	Qualified by whom, against what?	Buyer has confirmed a problem, a rough budget range, and named who else has to agree.
Demo done	Describes seller activity. Says nothing about the buyer.	Buyer has seen the product and confirmed which specific problem it addresses for them.
Proposal sent	Sending is not receiving.	Buyer has acknowledged the proposal and agreed a date to respond.
Negotiation	Could mean anything from a price question to a redline.	Buyer has agreed commercial terms in principle and legal review has started.

Why 'more leads' rarely fixes anything

If a hundred leads produce five customers, doubling to two hundred leads produces ten. If instead you find out why ninety-five did not convert and fix one stage, the same hundred might produce nine.

Top-of-funnel volume is the most visible lever and usually the most expensive one. The cheaper question is always: which stage do deals leave, and why.

Part 2: Four Funnels, Side by Side

Four real companies with genuinely different motions. Read across the rows, not down the columns.

	1. Self-serve (PLG)	2. Inside sales	3. Content-led, sales-assisted	4. Enterprise field sales
Company	Vyapar	Onsurity	Sprinto	Procol
What they sell	Billing and inventory app for small businesses. Free on mobile,	Employee healthcare and benefits for Indian	Compliance automation. Gets companies SOC 2 and ISO 27001 ready.	Procurement and e-sourcing software for large manufacturers.

	1. Self-serve (PLG)	2. Inside sales	3. Content-led, sales-assisted	4. Enterprise field sales
	paid for desktop and multi-user.	SMEs. Monthly subscription.		
Who decides	One person. The owner. Uses it and pays for it.	Usually two. An HR or admin lead recommends, a founder signs.	Two to four. A CTO or security lead drives it, finance approves.	Six or more. Procurement, finance, IT, plant heads, and a committee.
Deal size	A few thousand rupees a year.	Rs 3 to 8 lakh a year.	Mid five figures in dollars.	Rs 20 lakh to several crore.
Cycle length	Minutes to weeks. Often no conversation at all.	Two to six weeks.	Four to twelve weeks.	Six months to over a year.
What creates the top of funnel	App store, search, word of mouth. The product is the marketing.	Content plus outbound plus inbound forms. A human calls quickly.	SEO and content. Buyers arrive educated and self-qualified.	Relationships, events, RFPs, references. Nobody arrives by accident.
Where deals die	Activation. They download and never enter a second week of data.	Between recommendation and signature. The recommender cannot get the signer's attention.	Security review and procurement, which the champion did not anticipate.	No decision. The committee cannot agree and the budget moves elsewhere.
What a salesperson does	Almost nothing until expansion. Then it is free-to-paid conversion.	Speed. Respond in minutes, qualify fast, close in a handful of calls.	Educate and de-risk. The buyer knows the category, not whether you are safe.	Orchestrate. Manage a coalition over months and keep the deal alive between meetings.

WHAT TO NOTICE

The four funnels do not have the same number of stages, and they should not.

Vyapar's real funnel is about activation, not conversation. Procol's is about keeping a coalition together for a year.

The stage that kills the deal is different in all four. Design the funnel around that stage, not around the happy path.

Part 3: Qualification

The problem with BANT

BANT — Budget, Authority, Need, Timeline — is the oldest qualification framework in sales and it is still the most used. It fails in three ways.

1. It asks about budget too early. In most B2B purchases there is no budget line until someone decides the problem is worth solving. Asking 'what's your budget' disqualifies deals that had not created one yet.
2. It treats authority as a single person. In a real B2B deal the person with authority to sign is often not the person with authority to stop it.
3. It is a checklist, so it gets asked like one. A buyer who feels processed stops telling you things.

What to use instead

	What you are actually establishing	The question behind the question
Need	That a specific, recurring problem exists, and that it has a cost.	What happens today, how often, and what does it cost when it happens?
Budget	Not whether money exists, but whether it can be found and who finds it.	How did they pay for the last thing like this?
Timeline	Not when they would like it, but what event forces a decision.	What happens on a date that makes this urgent?
Authority	Who signs, who can stop it, and who has to be convinced by whom.	If this goes ahead, who else has to be comfortable?
Fit	Whether you can actually serve them well. The one everyone skips.	Is there anything about how they operate that would make this fail?

FIT IS THE ONE THAT SAVES YOU MONEY

Need, Budget, Timeline and Authority tell you whether the deal will close. Fit tells you whether it should.

A customer you cannot serve well costs more than a deal you did not win: they churn, they complain publicly, and they consume support time that belonged to someone else.

The strongest sellers disqualify on Fit more than on anything else, and they do it early.

How to ask without sounding like a form

Instead of	Ask	Why it works
What's your budget for this?	How did you pay for the last tool you brought in?	Past behaviour, not a hypothetical number. It also reveals the approval path.

Instead of	Ask	Why it works
Who is the decision maker?	If you decided to go ahead, who else would need to be comfortable with it?	Surfaces the blocker as well as the signer. 'Decision maker' only finds the signer.
What's your timeline?	Is there anything happening in the next quarter that would make this urgent?	Finds the forcing event. A timeline without an event is a wish.
Is this a priority for you?	Where does this sit against the other three things on your list this quarter?	Forces a ranking rather than a yes. A yes to 'is this a priority' costs nothing.
Do you have a problem with X?	Walk me through what happened the last time X went wrong.	Session 1's Mom Test, applied to qualification.

Part 4: Workshop

Twenty-eight minutes, in study groups. Your instructor will assign your two companies from the four above. You design a funnel for each: one inside sales, one field sales.

Framework 1: Funnel A

Stage	Name it	Entry criterion (what the BUYER has done)	Exit criterion
1			
2			
3			
4			
5			

Framework 2: Funnel B

Stage	Name it	Entry criterion (what the BUYER has done)	Exit criterion
1			
2			
3			

Stage	Name it	Entry criterion (what the BUYER has done)	Exit criterion
4			
5			

Framework 3: Two questions underneath

Question	Your answer
Name one stage that exists in one funnel and not the other, and say why	
In each funnel, which stage do most deals die in? What would you change to fix it?	

Framework 4: Five Qualification Questions

For whichever of your two companies has the longer cycle. None may be answerable with yes or no.

#	Your question	What it establishes (N/B/T/A/F)	What answer would disqualify?
1			
2			
3			
4			
5			

Check Your Own Learning

Objective	Check yourself	Tick
LO1: Entry and exit criteria	Read your stages. Circle any criterion that describes something the SELLER did. Those are not criteria.	
LO2: Two motions	Can you name a stage in one funnel that has no equivalent in the other, and say why? If both funnels are the same shape, you designed one twice.	

Objective	Check yourself	Tick
LO3: Question quality	Read your five questions aloud. Could any be answered with yes or no? Does any sound like a form?	
LO4: Disqualification	Look at the last column. If no answer would ever disqualify a deal, the question is not qualifying anything.	

THE MOST COMMON WAY TO FAIL THIS SESSION

You design a neat five-stage funnel where every stage is named after something the seller does: contacted, demoed, proposed, negotiated, closed.

That funnel will always look healthy, because the seller is always doing things. A funnel measures the buyer's progress, not yours.